

Revenue:

Q3	\$448	\$427	7%	5%
9 Months	\$1,298	\$1,263	5%	3%

Adjusted EPS*:

Q3	0.84	0.74	22%	14%
9 Months	2.44	2.12	20%	15%

Reported EPS

Q3	0.74	0.71	13%	4%
9 Months	2.34	1.95	25%	20%

**Excludes a \$0.10 per share bad debt charge related to Borders in the third quarter of FY11. Excludes impairment and restructuring charges reported in the third quarter and nine month periods of FY10 of \$0.03 and \$0.17 per share, respectively. Both Adjusted and Reported EPS include a \$0.07 per share deferred income tax benefit in the first quarter of FY11.*

Note: For comparability to our full year guidance, nine month EPS grew 17% excluding the negative effect of FX; the \$0.07 per share first quarter UK statutory tax benefit; the \$0.10 per share bad debt charge; and prior year impairment and restructuring charges of \$0.17 per share.

For the third quarter, revenue rose 5% from prior year to \$448 million, or 7% excluding foreign exchange. Robust growth in Scientific, Technical, Medical, and Scholarly (STMS) and Professional/Trade (P/T) drove results.

For the quarter, operating income of \$70 million rose 2% compared to prior year, or 7% excluding foreign exchange. As was previously reported on SEC Form 8K filed on February 4, 2011, Wiley recorded a bad debt charge of approximately \$9 million (after-tax \$6 million) related to Borders Group Inc. ("Borders"), which represents the difference between the Company's outstanding receivable and expectation of potential offsets and recoveries in the future, as well as existing reserves for Borders. The Company does not anticipate any additional charge or bad debt expense with respect to this customer. Excluding the bad debt charge and prior year restructuring and impairment charges of approximately \$3 million, adjusted operating income rose 11%, or 16% excluding foreign exchange. Top-line results and improved margins due to higher revenue from digital products drove the improvement. Technology Services expense increased approximately 28% to \$32 million reflecting ongoing investments in digital products and infrastructure, such as WileyPLUS, eBooks, backfiles, and Wiley Online Library.

Adjusted to exclude this quarter's bad debt charge of \$0.10 per share, last year's impairment and restructuring charge and foreign exchange, earnings per share (EPS) rose 22% in the quarter to \$0.84. Top-line results and lower interest expense were partially offset by higher technology investments. On a reported basis EPS grew 4% in the quarter to \$0.74, or 13% excluding foreign exchange.

Revenue for the nine months grew 3%, or 5% excluding foreign exchange. On a year-to-date basis, EPS adjusted to exclude the \$0.10 per share bad debt charge and the \$0.17 per share prior year impairment and restructuring charges grew 15% to \$2.44 including foreign exchange. On a reported basis, EPS grew 20%, or 25% excluding foreign exchange.

Free cash flow for nine months increased 19% to \$206 million. Wiley has repurchased 222,000 shares at a cost of \$10 million this fiscal year. A four million share repurchase program was announced in September 2010. Net debt (long term debt less cash and cash equivalents) decreased by \$243 million from a year ago.

Management Commentary

"Wiley's unique combination of businesses, robust strategies, and sharp focus on the execution of our plans continue to serve us well," said William J. Pesce, President and CEO. "STMS exhibited solid top-line growth this quarter, driven by higher institutional sales and new society relationships. Calendar year 2011 journal renewals are ahead of last year, both in timing and overall value. The shift to online books continues. Wiley Online Library received the Best eProduct/Multidiscipline Platform Award from the Association of American Publishers."

Mr. Pesce continued: "Professional/Trade bounced back from a tough second quarter, led by business and cooking books. Sales of eBooks grew and had a positive effect on gross margin. In December, Wiley stopped shipping to Borders and in February we announced the bad debt charge. Borders was projected to account for less than 5% of Professional/Trade revenue in fiscal year 2011, down from more than 10% of revenue a few years ago. Customer purchasing patterns continue to shift, as reflected in the sales of eBooks, the success of online retailers, and the performance of some brick and mortar booksellers. Wiley is well-positioned to capitalize on this shift as a result of our publishing strategy and multi-channel selling around the world."

Said Mr. Pesce: "Higher Education is performing well off a record-setting prior year with strong growth in the US partially offset by a revenue decline in Australia. Higher Education's gross margin continued its upward trend, increasing to 68.5% through nine months of the year, up from 67.6% a year ago, reflecting increased sales of high margin products, including WileyPLUS, eBooks, and custom publishing."

Outlook

Mr. Pesce concluded: "Based on year-to-date results, market conditions and leading indicators, we reiterate our fiscal year 2011 guidance of mid-single-digit revenue growth on a currency neutral basis. Excluding the effect of foreign exchange, the Borders bad debt charge and the first quarter deferred tax benefit, we project EPS growth of approximately 10% from fiscal